



AI-Powered Collections Strategy



Leveraging Agentic AI for Scalable, Fair, and
Effective Debt Management at Geldium



How the System Works

- **Inputs:** Customer data including Credit Utilization, Missed Payments, Income, Debt-to-Income Ratio, Account Tenure, and payment history.
- **Decision Logic:** Logistic Regression generates a delinquency risk score, combined with business rules to determine the appropriate intervention.
- **Actions:** Trigger personalized payment reminders, supportive outreach, or hardship support, with complex cases escalated to Collections staff.
- **Learning:** Track repayment rates, customer engagement, and collection effectiveness to improve future actions.

Role of Agentic AI

Autonomous

- Monitor customer risk signals
- Personalize outreach timing and messaging
- Send routine payment reminders
- Monitor outcomes and adjust routine strategies

Human Oversight

- Handle complex customer cases
- Review personalized hardship plans
- Review customer disputes
- Approve high-impact interventions
- Handle exceptions and ensure compliance

AI handles routine decisions; humans remain accountable for complex and high-impact decisions.

Responsible AI Guardrails

Fairness

- Regularly check predictions across customer groups to identify and reduce unfair outcomes or bias.

Explainability

- Use an interpretable model and clearly explain why a customer is identified as higher risk.

Compliance

- Maintain audit trails and ensure the system follows applicable financial regulations, such as ECOA, GDPR, and local data-protection requirements.

Human Oversight

- Escalate complex, disputed, borderline, or high-impact decisions to trained Collections staff.

AI should support Collections decisions - not replace human judgment.

Expected Business Impact

Business KPIs

- 10% target reduction in late or missed payments during the 6-week pilot
- Increased repayment rates
- More efficient Collections prioritization
- Potential reduction in unnecessary outreach and collection costs
- Scalable risk-based outreach

Customer Outcomes

- Earlier and more relevant payment support
- More personalized communication
- Fairer and more consistent treatment
- Greater transparency in AI-driven outreach
- Human support for complex cases

Targeted AI-driven outreach can help Geldium reduce delinquency while improving Collections efficiency and customer experience.